

stocks to rebalance back to the original target. On the other hand, you're above your tolerance for risk if you let the portfolio remain out of balance (answer 2) or if you were inclined to sell stocks (answer 3). If this is how you would act, then a 50 percent stock and 50 percent bond allocation is beyond your tolerance for risk.

I also find that most people have an *actual* risk tolerance that is lower than their *declared* tolerance for risk. In other words, people do not want other people to think they cannot handle a loss, because that might be seen as a personality flaw.

A macho attitude doesn't help you in investing. It doesn't matter how low your level of risk is, as long as you know what it is. Understanding your limit for financial loss will guide you to a proper allocation, and that will increase the probability that you will maintain your investment plan through good times and bad.

AN EXAMPLE OF THE STRESS TEST

The following is a detailed example of an asset allocation stress test. It suggests an initial asset allocation to an investor and then stress-tests the allocation to observe how the investor reacts to a volatility shock. If an emotional reaction to loss occurs, a change in asset allocation is needed to bring the portfolio into line with the investor's true tolerance for risk.

Consider a single woman in her midfifties who decides to retire after being offered early retirement from her employer. The woman will receive a small monthly pension as well as a \$300,000 IRA rollover from a 401(k). She meets with a financial planner to ask for assistance in investing the \$300,000 IRA rollover.

The planner concludes that the woman will not make enough from the pension to cover her living expenses and travel plans. She will need to withdraw \$1,000 per month from the IRA to supplement her pension income. After determining the woman's cash-flow needs, the conversation turns to asset allocation. The advisor explains the historical returns and risks of each asset class, how modern portfolio theory works, and the necessity for annual rebalancing. The advisor asks the woman to complete a risk tolerance questionnaire to find the maximum level of risk she can deal with.